

Doctrine of Frustration: The 4-Step Legal Checklist

Step-by-Step Test under Section 56 of Indian Contract Act 1872

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The 4-Step Checklist (*Satyabrata Ghose v. Mugneeram Bangur*):

Step 1: Valid and subsisting contract existed between the parties.

Step 2: Subsequent impossibility arose after the contract was entered into.

Step 3: The event was beyond the contemplation and control of both parties.

Step 4: The fundamental basis of the contract has been destroyed (commercial difficulty is NOT frustration!).

Golden Rule: Force Majeure clauses are governed by Sec 32 (Contingent); Sec 56 applies if no clause exists.